

Consumer FinTech in Southeast Asia



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Agenda

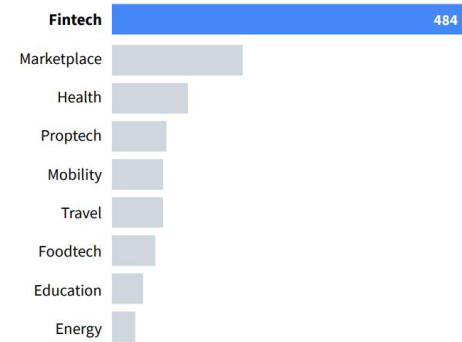
- Why Southeast Asia?
- What is the opportunity?
- Trends in the region
- Incumbents
- Upstarts



Why this space?

- FinTech growing extremely quickly in emerging markets
- Southeast Asia often talked about as one homogenous region, when it's not!
- We wanted to explore the nuances of fintech in SEA and share trends that we're seeing

**Number of VC-backed startups
by internet sector**



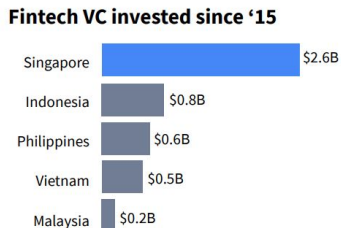
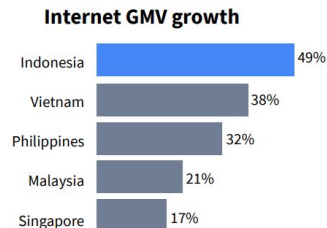
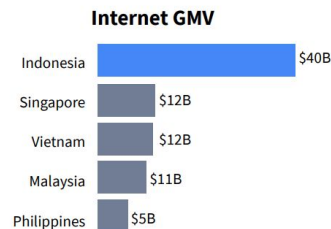
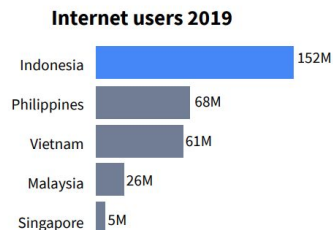
Source: Dealroom.co

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Data as of 2020 for SEA

The Opportunity in Southeast Asia

With their young unbanked populations, and rapid growth of digital adoption, we think that **Indonesia** and **Vietnam** are two of the most exciting markets in Southeast Asia.



Source: Fulfilling its Promise, the future of SEA's digital financial services. A [report](#) by Bain, Google and Temasek.

According to JP Morgan payments alone has a \$1.5 Trillion TAM in SE Asia

Growth of internet economy and digital adoption

Indonesia's internet economy has more than quadrupled to more than \$40 billion in 2019 and is on track to reach **\$130 billion by 2025**.

Vietnam is behind them with \$12 billion internet economy in 2019 with a projected **\$43 billion by 2025**.

Ecommerce and ride hailing are two of the most popular use cases, and mobile money penetration is on the rise.

Large Unbanked Population

73% of southeast asian population is unbanked - 438M people
In poorer countries (like Vietnam), the rate is even greater at 95%

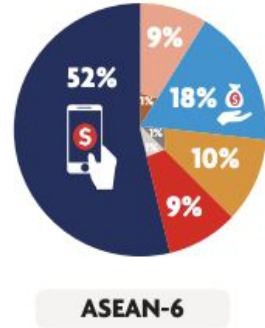
Unique consumer behaviors that allow local players to win.

Nearly three-quarters of consumer payments in Southeast Asia's six biggest economies—Indonesia, Malaysia, the Philippines, Thailand, Singapore, and Vietnam—are transacted in cash.

Accelerated digital adoption and the pandemic further fueled the vibrant FinTech ecosystem

- Highly engaged mobile audience and propensity to adopt technologies
 - Vietnam: mobile payments surged **144%** annually in the last 5 years
 - Indonesia: online transactions grew **173%** in 2019
- The pandemic created a step-function change in closing the connectivity gap and delivering digital solutions

- **Payments** (\$470M, 52%), **alternative lending** (18%), and **digital banking** start-ups received the most funding in Southeast Asia in 2020
- These solutions provide an avenue the **unbanked consumers** in Vietnam Indonesia to obtain credit and to achieve long-term financial health
- High **informal borrowing** and **low credit card penetration**: Indonesia 66%, 2%; Vietnam 56%, 4%
- Consumer consumption steadily climbs **5-10%** annually



Payments and e-Wallets: Incumbents and Upstarts

Incumbent



Description: An e-money wallet for Gojek services (the ride hailing app) in Indonesia.

Founders:

Nadiem Makarim, Kevin Aluwi, Michaelangelo Moran (Co-Founders of Gojek) founded in 2010

Traction: over 8 millions users

Round: Series G - \$18 Billion valuation

Upstart



Description: A fintech application that provides for the easy transferring of money directly from debit cards, viewing of bank account balances and bank statements as well as providing various financial products.

Founders: Hilfi Alkaff, Jan Kristanto, Jesayas Ferdinandus. Gojek alums. Founded in 2018.

Traction: 1 Million monthly active users

Round: Series A - \$108 Million valuation

Alternative lending solutions provide access to credit

Incumbent



Description: Founded in 2016 in Indonesia, Julo is a P2P lending platform that connects institutional lenders to consumer borrowers.

Founder(s): [Adrianus H.](#)

Traction: 104K active borrowers; \$170M loans made; 100% growth in demand between 2020 and 2021

Round: \$30M Series B

Upstart



Description: Part of YC W21 batch, Nano Technologies launched the VUI APP in 2020 in Vietnam to help employees get early access to payroll, income statistics, and financial management education content.

Founder(s): [Dzung D.](#) & [Thang N.](#)

Traction: 20K employees; 3 retail partners

Round: \$3M Seed

Digital banking: incumbents and upstarts

Incumbents



Description: Akulaku is an Alibaba-backed banking and digital finance company operating in SEA that has gradually been increasing its stake in local Indonesian bank BNC. Their aim is to transform BNC into a digital retail bank.

CEO: Tjandra Gunawan

Traction: 7M customers

Round: Public company (\$BBYB). \$750M market cap.



Upstarts



Description: Timo is a digital-first bank founded in 2016. Their product allows users to satisfy all their banking needs through a mobile app instead of going to a local branch. They are partnered with Viet Capital Bank.

Founders: Claude Spiese, Justin Myers

Traction: 300k users

Round: Early stage VC, undisclosed.



Thank you!

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